



A: One reason firms haven't hired freshers is not automation—it's uncertainty. Companies don't want to commit to large numbers. At Happiest Minds, we were prepared to hire, but decisions have to be made months in advance. With elections, geopolitical uncertainty, and tariffs, we decided to hold back. Customers are also hesitant. If a supply-chain decision goes wrong due to policy changes, senior executives could lose jobs. So, people are cautious.

There is some impact of automation—I don't deny that. But uncertainty is the bigger factor right now.

That said, productivity improvements are possible, particularly in infrastructure services. We saw that with remote process automation [which can efficiently automate repetitive manual computing tasks]. It delivered 30–40% productivity gains, forcing people to reskill. It happened earlier with testing. Something similar will happen in coding.

The middle layer will be squeezed. People with strong technical depth—code, architecture, design—will remain in demand. Agents and junior developers using AI tools can build faster, but you still need experts to validate and troubleshoot.

The industry that concerns me most is IT-enabled services and customer service. In limited contexts, agents are already smarter than humans. They're trained on company-specific data and customer history. Basic conversations can be replaced unless emotional or complex judgement is required.

Q: As AI improves productivity and reduces employee costs or bench strength, won't clients push for lower pricing?

A: You have to look at this through the lens of the three revenue models—time & material (T&M), fixed price, and outcome-based pricing.

In fixed-price projects, AI-driven productivity is now widely expected. Customers expect efficiency gains, but firms also need to retain a part of those gains to offset investments in AI tools and training. Overall, customers benefit from reduced timelines and costs.

In the T&M model, productivity gains often accrue to customers, who expect more output from the same team. The industry is exploring ways to price AI-skilled engineers at a premium to capture that value.

Outcome-based pricing remains relatively rare, but represents an area where the industry can mature.

Ultimately, pricing negotiations will reflect the balance of risk and reward. When risk is high, custom-

“The pace of AI adoption in enterprises is measured... enterprise behaviour reflects an approach focused on efficiency and productivity gains”

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ers are more willing to share it; when risk is low and the upside is clear, they push harder to capture gains.

Q: Happiest Minds' revenue is growing, but the stock performance hasn't kept pace. Why?

A: Stock prices are sentiment-driven. If you compare Happiest Minds with the IT index since our listing, we track it closely. The industry has been hit more than it deserves, despite decent growth and profitability.

Once geopolitical uncertainty reduces and investors understand automation better, valuations should improve. Current valuations aren't justified.

We've also transformed our business, moving towards product solutions. Growth acceleration requires doing things differently, and we're doing that. **BT**

@PalakAgarwal64